APPENDIX 4

How Coffee Can Portfolios Outperform during Market Stress

Only when the tide goes out do you discover who's been swimming naked. This insight from Warren Buffett has repeatedly proved correct when it comes to investing in stocks. When the broader market is undergoing a euphoric or bullish phase, most stocks do well regardless of the quality of their underlying fundamentals. However, when the euphoria ends, stocks with poor underlying fundamentals are decimated, leading to significant capital erosion for investors who did not adequately understand the weak fundamentals of their portfolio companies.

As shown in the exhibit below, during periods of market stress (encircled in the exhibit below), the performance trajectory of the Coffee Can Portfolios (CCPs) consistently generate the following outcomes:

- The CCPs tend to fall less than the overall stock market,
- The recovery following the crash is faster and stronger for CCPs compared to that of the broader market.